

Day 41 — TNPSC Group 2A Study Material

Part A – General Studies: Sources of Revenue, RBI, Fiscal Policy and Monetary Policy

READING MATERIAL

Covers government revenue sources and taxation, the Finance Commission's specific functions, the RBI's core role, and the fiscal-vs-monetary-policy distinction. Builds on (without repeating) the Article 280/263/262/279A matching already covered in the Federalism topic.

Q: Real exam: What are the Finance Commission's actual functions, confirmed correct in a real exam question testing all three together?

A: (i) Recommending the allocation between the Union and the States of the net proceeds of taxes (i.e., how shared tax revenue should be divided); (ii) laying down the principles governing grants-in-aid to the States; and (iii) reviewing/looking into the financial relations between the Centre and the States generally — all THREE confirmed true together in a real exam question.

Q: Real exam: What is the key difference between grants-in-aid under Article 275 versus Article 282, and what's a common false claim about Article 282?

A: Article 275 grants are STATUTORY — given based on the Finance Commission's recommendations. Article 282 grants are DISCRETIONARY — the Union (or a State) can give grants for any public purpose, even outside the regular Plan/non-plan framework, without needing Finance Commission approval. A real exam flagged the claim 'Article 282 grants are recommended by a Cabinet Committee' as FALSE — that specific procedural claim doesn't reflect Article 282's actual (broadly discretionary, not Cabinet-Committee-routed) nature.

Q: Real exam: What kind of tax is 'Excise Duty', and what is it charged on?

A: Excise Duty is an INDIRECT tax, charged on goods manufactured within the country, and collected by the Government of India — confirmed by a real exam question. (Note: since GST's 2017 rollout, most excise duty has been subsumed into GST, except on a few items like petroleum products, tobacco, and alcohol, which remain outside GST.)

Q: What is the basic distinction between Direct and Indirect taxes?

A: Direct taxes are paid directly by the person/entity on whom they're levied, and the burden cannot be shifted to someone else (e.g., Income Tax, Corporate Tax). Indirect taxes are levied on goods/services, and their burden can be shifted/passed on to the final consumer (e.g., GST, the old Excise Duty).

Q: When was the RBI established and nationalised, and what is its central monetary-policy decision-making body?

A: Established 1 April 1935, under the Reserve Bank of India Act, 1934. Nationalised on 1 January 1949. Since 2016, monetary policy (including fixing the benchmark Repo Rate) is decided by the Monetary Policy Committee (MPC) — a 6-member body (3 RBI officials + 3 external members nominated by the Government), chaired ex officio by the RBI Governor.

Q: Real exam: Which institution releases the Consumer Confidence Survey?

A: The Reserve Bank of India (RBI) — confirmed by a real exam question, distinguishing it from NITI Aayog, NABARD, and a fictitious 'National Consumer Forum'.

Q: What is the basic distinction between Fiscal Policy and Monetary Policy?

A: Fiscal Policy concerns government taxation and spending decisions, made by the Finance Ministry/government. Monetary Policy concerns the money supply and interest rates (e.g., the Repo Rate), controlled by the RBI — the two work together but through different levers and different institutions.

MOCK TEST (WITH ANSWERS)

1. Which of the following are functions of the Finance Commission of India? (i) Allocation of shares of net tax proceeds. (ii) Laying down principles governing grants-in-aid. (iii) Reviewing Centre-State financial relations.

- A. (i) and (ii) only
- B. (i) and (iii) only
- C. (i), (ii), and (iii) ✓**
- D. (ii) and (iii) only

Explanation: All three. [medium, question-bank-2022]

2. Grants-in-aid under Article 275 are:

- A. Discretionary, decided case-by-case
- B. Statutory, based on Finance Commission recommendations ✓**

- C. Approved only by a Cabinet Committee
- D. Available only during a financial emergency

Explanation: Statutory, based on Finance Commission recommendations. [hard, question-bank-2017]

3. Which statement about Article 282 grants is NOT correct?

- A. The Union can give such grants even for non-plan expenditure
- B. Such grants are discretionary
- C. Allocation of such grants is recommended on the basis of a Cabinet Committee's decision ✓**
- D. These grants differ from the statutory grants under Article 275

Explanation: False — Article 282 grants are not specifically Cabinet-Committee-recommended. [hard, question-bank-2017]

4. Excise Duty, a tax charged on goods manufactured within the country, is an example of a:

- A. Direct tax
- B. Indirect tax ✓**
- C. Wealth tax
- D. Capital gains tax

Explanation: Indirect tax. [medium, question-bank-2017]

5. The Reserve Bank of India commenced operations in which year, under which Act?

- A. 1947, RBI Act 1947
- B. 1935, RBI Act 1934 ✓**
- C. 1949, RBI Act 1949
- D. 1956, RBI Act 1955

Explanation: 1935, under the RBI Act, 1934. [medium, web-research]

6. The RBI was nationalised in which year?

- A. 1935
- B. 1947
- C. 1949 ✓**
- D. 1969

Explanation: 1949. [medium, web-research]

7. Since 2016, the RBI's benchmark Repo Rate is decided by:

- A. The RBI Governor alone
- B. The Finance Minister
- C. The Monetary Policy Committee (MPC) ✓**
- D. The Planning Commission

Explanation: The Monetary Policy Committee. [medium, web-research]

8. Which institution releases the Consumer Confidence Survey in India?

- A. National Consumer Forum
- B. NITI Aayog
- C. Reserve Bank of India ✓**
- D. NABARD

Explanation: Reserve Bank of India. [medium, question-bank-2026]

9. Fiscal Policy primarily concerns government taxation and spending, while Monetary Policy primarily concerns:

- A. Foreign relations
- B. Money supply and interest rates ✓**
- C. Defence expenditure
- D. State boundary disputes

Explanation: Money supply and interest rates. [easy, authored]

Part B – Aptitude & Mental Ability: Volume

READING MATERIAL

Volume is the last of 10 named Aptitude sub-skills. Real exam evidence shows two dominant shapes: 'ratio of dimensions → ratio of volumes' (scaling), and 'melt/recast one solid into another shape' (volume is conserved, surface area is not) — both are core techniques worth knowing cold.

Q: Method — ratio of volumes from a ratio of radii (same shape): If the radius of one sphere is half that of another, what is the ratio of their volumes?

A: Volume scales with the CUBE of linear dimensions ($V = \frac{4}{3}\pi r^3$), not directly with the radius. So if $r_1:r_2 = 1:2$, then $V_1:V_2 = 1^3:2^3 = 1:8$.

Q: Method — melting and recasting (volume is conserved, NOT surface area): A sphere of radius 9cm is melted and recast into a cone of the same radius (9cm). Find the cone's height.

A: Set sphere volume = cone volume: $(\frac{4}{3})\pi(9)^3 = (\frac{1}{3})\pi(9)^2h \rightarrow (\frac{4}{3})(729) = (\frac{1}{3})(81)h \rightarrow 972 = 27h \rightarrow h = 36$ cm. The general shortcut: for melting sphere→cone of the SAME radius, height = 4×radius always (since the $(\frac{4}{3})r^3$ vs $(\frac{1}{3})r^2h$ relationship reduces to $h=4r$ when radii match).

Q: Real exam (already seen in an earlier topic, re-noted here): A sphere of diameter 8cm is melted and drawn into a wire of diameter 3mm. Find the wire's length.

A: Volume conserved: $(\frac{4}{3})\pi(4)^3 = \pi(0.15)^2 \times h \rightarrow h \approx 3792.6$ cm ≈ 37.9 m. (Same melt/recast principle as r02, just sphere→cylinder/wire instead of sphere→cone.)

Q: Method — volume of a cylindrical tank from its capacity: A cylindrical tank has capacity 1,848 m³ and base diameter 14m. Find its depth.

A: $V = \pi r^2 h \rightarrow 1848 = (\frac{22}{7}) \times 7^2 \times h = 154h \rightarrow h = 12$ m.

Q: Method — dug-out soil redistributed into a different shape (volume conserved): A cylindrical well of depth 20m, diameter 14m is dug; the soil is spread evenly to form a cuboid platform of base 20m×14m. Find the platform's height.

A: Well volume = $(\frac{22}{7}) \times 7^2 \times 20 = 3,080$ m³. Platform volume = $20 \times 14 \times h = 280h$. Set equal: $280h = 3080 \rightarrow h = 11$ m.

Q: Formula check: volume of a cube with side 5cm, and the relationship between a cube's volume and surface area.

A: Volume = side³ = $5^3 = 125$ cm³. If a cube's volume is 1000 cm³, its side = $\sqrt[3]{1000} = 10$ cm, so its surface area = $6 \times \text{side}^2 = 6 \times 100 = 600$ cm² (cube surface area = $6 \times \text{side}^2$, from its 6 square faces).

Q: Method — ratio of volumes for cone, sphere, cylinder of equal radius AND equal height: What is that ratio?

A: Cone : Sphere : Cylinder = 1 : 4 : 3, when all three share the same radius r and the same height h (for the sphere, 'height' = its diameter = 2r in this comparison). This is a frequently tested ratio worth memorizing directly.

MOCK TEST (WITH ANSWERS)

1. If the radius of sphere A is 3 times the radius of sphere B, what is the ratio of their volumes (A:B)?

- A. 3:1
- B. 9:1
- C. 27:1 ✓**
- D. 6:1

Explanation: Volume ratio = (radius ratio)³ = $3^3:1^3 = 27:1$. [easy, authored]

2. A solid sphere of radius 6cm is melted and recast into a cone of the same radius. Find the cone's height.

- A. 18 cm
- B. 24 cm ✓**
- C. 12 cm
- D. 6 cm

Explanation: Using the shortcut $h = 4 \times \text{radius}$ for sphere→same-radius-cone: $h = 4 \times 6 = 24$ cm. [medium, authored]

3. A cylindrical tank has capacity 4,620 m³ and base diameter 14m. Find its depth.

- A. 20 m
- B. 25 m
- C. 30 m ✓**

D. 15 m

Explanation: $V = \pi r^2 h \rightarrow 4620 = (22/7) \times 49 \times h = 154h \rightarrow h = 30\text{m}$. [medium, authored]

4. Find the volume of a cube with side 8cm.

A. 512 cm³ ✓

B. 256 cm³

C. 64 cm³

D. 640 cm³

Explanation: $8^3 = 512\text{ cm}^3$. [easy, authored]

5. If a cube's volume is 2,197 cm³, find its surface area.

A. 507 cm²

B. 169 cm²

C. 1014 cm² ✓

D. 338 cm²

Explanation: Side = $\sqrt[3]{2197} = 13\text{cm}$. Surface area = $6 \times 13^2 = 6 \times 169 = 1,014\text{ cm}^2$. [medium, authored]

6. A cone, a sphere, and a cylinder share the same radius and same height. What is the ratio of their volumes (cone:sphere:cylinder)?

A. 1:3:4

B. 1:4:3 ✓

C. 3:4:1

D. 4:3:1

Explanation: Cone:Sphere:Cylinder = 1:4:3 for equal radius and height. [medium, web-research]

Part C – General English: Prose: "A Birthday Letter" — Jawaharlal Nehru

READING MATERIAL

A real letter written by Jawaharlal Nehru to his young daughter Indira on her birthday, from the Naini Central Prison (26 October 1930), reflecting on truth, heroism, ordinary people becoming heroes through devotion to a great cause, and Mahatma Gandhi's inspiring influence on the freedom struggle.

Q: Where and when did Nehru write this letter, and why a letter instead of a gift?

A: From the Naini Central Prison, on 26 October 1930. Unable to send Indira a physical birthday gift while imprisoned, he wrote her a letter instead — suggesting that letters can be cherished just as much as material gifts.

Q: Why did Nehru dislike giving sermons or direct moral advice, and what did he believe was the better way to discover truth?

A: He disliked sermonizing because he believed truth is better discovered through DISCUSSING AND TALKING openly, rather than through one-sided lecturing — sometimes, only through genuine discussion does a bit of truth come out.

Q: What childhood story had fascinated Indira, and what ambition did it inspire in her?

A: The story of Joan of Arc fascinated her as a child, inspiring her ambition to be LIKE Joan of Arc.

Q: How does Nehru describe ordinary men and women, and under what condition do they become heroes?

A: He describes ordinary men and women as fundamentally SIMPLE AND ORDINARY — but says they become heroes when they are INSPIRED BY A GREAT CAUSE (full faith in that cause, combined with love and respect for the nation).

Q: Which great Indian leader does Nehru highlight in the letter, how does he describe him, and where was that leader at the time of writing?

A: Mahatma Gandhi. Nehru describes him as 'a man full of love for those who suffer'. At the time of writing, Gandhi himself was IN PRISON.

Q: What effect did Gandhi's message have on the people of India, and who does Nehru say are becoming India's 'soldiers of freedom'?

A: Gandhi's message 'stole the hearts of millions', inspiring people to perform great deeds and noble sacrifices. Nehru says both MEN AND WOMEN (not just one group) are becoming India's soldiers of freedom.

MOCK TEST (WITH ANSWERS)

1. "A Birthday Letter" was written by Jawaharlal Nehru to his daughter Indira from:

- A. His home in Allahabad
- B. The Naini Central Prison ✓**
- C. A train journey
- D. London

Explanation: The Naini Central Prison. [medium, web-research]

2. According to Nehru, what is the best way to find out what is right or wrong?

- A. Through reading alone
- B. By discussing and talking ✓**
- C. By strictly following rules
- D. Through meditation

Explanation: By discussing and talking. [medium, web-research]

3. According to Nehru, what sometimes comes out of open discussion?

- A. Confusion
- B. Arguments
- C. Truth ✓**
- D. Misunderstandings

Explanation: Truth. [easy, web-research]

4. What story had fascinated Indira as a child, per the letter?

- A. The story of Joan of Arc ✓**
- B. The story of Akbar
- C. The story of Ramayana

D. The story of Gandhi

Explanation: The story of Joan of Arc. [medium, web-research]

5. How does Nehru describe ordinary men and women, before they are transformed by a great cause?

A. Heroic

B. Selfish

C. Simple and ordinary ✓

D. Brave

Explanation: Simple and ordinary. [medium, web-research]

6. According to Nehru, when do ordinary men and women become heroes?

A. When they study hard

B. When they are inspired by a great cause ✓

C. When they face difficulties alone

D. When they achieve personal success

Explanation: When inspired by a great cause. [medium, web-research]

7. Which great Indian leader does Nehru highlight in the letter?

A. Subhash Chandra Bose

B. Rabindranath Tagore

C. Mahatma Gandhi ✓

D. Sardar Patel

Explanation: Mahatma Gandhi. [easy, web-research]

8. How does Nehru describe Mahatma Gandhi in the letter?

A. As a strict leader

B. As a man full of love for those who suffer ✓

C. As a powerful speaker

D. As a wealthy leader

Explanation: As a man full of love for those who suffer. [medium, web-research]

9. Where was Gandhi at the time Nehru wrote this letter?

A. Leading a protest

B. In a meeting

C. In prison ✓

D. In a foreign country

Explanation: In prison. [medium, web-research]

10. Who does Nehru say are becoming India's 'soldiers of freedom'?

A. Only adults

B. Men and women ✓

C. Only government officials

D. Only educated people

Explanation: Men and women. [medium, web-research]